MUMIAS SUGAR COMPANY LIMITED

HALF YEAR RESULTS

The directors are pleased to announce the unaudited results for the six months ended 31 December 2011.

CONDENSED STATEMENT OF COMPREHENSIVE INCOME FOR THE SIX MONTHS ENDED 31 DECEMBER 2011

	2011 Shs'000	2010 Shs'000
Revenue	6,921,870	7,318,671
Cost of sales	(4,666,144)	(4,777,390)
Gross profit	**2,255,726**	**2,541,281**
Other operating income	93,858	56,037
Marketing and distribution costs	(224,107)	(463,721)
Administrative expenses	(602,888)	(623,543)
Other operating expenses	(441,080)	(313,401)
Finance income	291,431	120,670
Finance costs	(134,843)	(132,902)
Profit before taxation	**1,238,097**	**1,184,421**
Taxation charge	(371,429)	(355,326)
Profit for the year	**866,668**	**829,095**
Other comprehensive income		
Fair value gain on revaluation of quoted investments net of taxes	14,639	542
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	**881,307**	**829,637**
Earnings per share - basic & diluted	**0.57**	**0.54**

STATEMENT OF CHANGES IN EQUITY FOR THE SIX MONTHS ENDED 31 DECEMBER 2011

	Share capital Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Total Shs'000
At 1 July 2010	3,060,000	1,535,848	6,404,006	10,999,852
Total comprehensive income for the year				
Profit for the year	-	-	829,095	829,095
Other comprehensive income				
Fair value gain on assets, net of taxes	-	-	542	542
At 31 December 2010	**3,060,000**	**1,535,848**	**7,233,643**	**11,829,491**
At 1 July 2011	3,060,000	3,552,456	7,863,551	14,476,007
Total comprehensive income for the year				
Profit for the year	-	-	866,668	866,668
Other comprehensive income				
Fair value gain on assets, net of tax	-	-	14,639	14,639
Final dividend declared - 2011	-	-	(765,000)	(765,000)
At 31 December 2011	**3,060,000**	**3,552,456**	**7,979,858**	**14,592,314**

CONDENSED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2011

	31 Dec 2011 Shs'000	30 June 2011 Shs'000
ASSETS		
Non-current assets	18,299,731	16,664,857
Current assets	6,121,272	6,511,659
TOTAL ASSETS	**24,421,003**	**23,176,516**
EQUITY AND LIABILITIES		
Shareholders' equity	14,592,314	14,476,007
Non-current liabilities	7,047,614	5,738,818
Current liabilities	2,781,075	2,961,691
TOTAL EQUITY & LIABILITIES	**24,421,003**	**23,176,516**

CONDENSED STATEMENT OF CASHFLOWS FOR THE SIX MONTHS ENDED 31 DECEMBER 2011

	2011 Shs'000	2010 Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Net cash generated by operating activities	231,848	757,679
CASH FLOWS FROM INVESTING ACTIVITIES		
Net cash used in investing activities	(2,022,226)	(776,198)
CASH FLOWS FROM FINANCING ACTIVITIES		
Net cash generated by/used in financing activities	469,671	(539,187)
DECREASE IN CASH AND CASH EQUIVALENTS	**(1,320,707)**	**(557,706)**
CASH AND CASH EQUIVALENTS AT 1 JULY	656,435	1,346,127
CASH AND CASH EQUIVALENTS AT 31 DEC	**(664,272)**	**788,421**

BASIS OF PREPERATION

These condensed unaudited interim financial statements have been prepared in accordance with IAS 34, "Interim Financial Reporting". They do not include all the information required for full annual financial statements and should be read in conjunction with the annual audited financial statements as at and for the year ended 30 June 2011, which have been prepared in accordance with IAS 1.

The same accounting policies and methods of computations are followed in these interim financial statements as compared with the annual financial statements as at and for the year ended 30 June 2011.

OVERVIEW

The results for the six months ended 31 December 2011 were commendable in view of the very difficult trading environment. During this period, the rate of inflation went up from 12% to 20% per annum, high fuel prices and a very volatile and depreciating Kenya Shilling which reached an all time high of 107 shillings to the dollar in November 2011.

The company recorded a 6.2% increase in earnings over the same period last year.

This was mainly as a result of improved sugar prices and cost reduction initiatives.

OPERATIONS

Cane availability was a major challenge due to declining yields and cane poaching by competitors. This was exacerbated by very heavy rains in the period July-December 2011 with 1243mm of rain against a long term mean of 915mm. This hampered transportation of cane from the fields.

Sugarcane crushed was 803,345 tonnes which was 27% lower than the 1,094,053 tonnes crushed last year. Sugar produced was 64,435 tonnes which was 43% lower than the 113,521 tonnes produced last year. The company sold 62,298 tonnes of sugar which is 42% less sugar than the 108,110 sold last year.

The co-generation plant revenue from sale of electricity was Shs. 154 million in the period which was 4% lower than the Shs 161 million realized last year. This was because of inadequate fuel (bagasse) supply because of the lower amount of cane crushed.

RESULTS

Net revenue was Shs. 6.9 billion which is 5% lower than the Shs. 7.3 billion achieved over the same period last year. Profit before taxation of Shs. 1,238 million is 6% higher than the Shs. 1,184 million realized in the same period last year. Earnings per share (EPS) for the period is Shs. 0.57 compared to Shs. 0.54 last year.

DIVIDENDS

The directors do not recommend the payment of an interim dividend.

CREDIT RATING

Mumias Sugar Company was awarded a credit rating of A+(Long term) and A1(Short term) by Global Credit Rating Company in December 2011. The overall remark was "whilst facing the significant challenge of cane procurement, Mumias remains in a healthy financial position. The company is highly profitable and cash flow generative. As a result it has managed to contain gearing ratios to moderate levels, despite the significant investments over the past few years. Once fully operational, these investments should contribute positively to earnings over the medium term".

OUTLOOK

The company has contracted more farmers and invested in cane development to improve on the cane availability. There are over 104,000 contracted farmers and the company has invested over Shs 2.5 billion in cane development. New cane varieties introduced by the sugar research foundation (KESREF) for early maturity and better yields are being rolled out to farmers.

The world sugar prices are on the decline in the region of USD 630 per tonne. This will result in lower domestic sugar prices in the second half of the year.

The company expects to commission the water bottling plant in March 2012 and the ethanol distillery in April 2012. The benefit of these investments will be derived as from the next financial year and will contribute positively to earnings.

The Board of Directors is optimistic that the second half will be better than the first half and that the full year results will be an improvement over last year.

BY ORDER OF THE BOARD

Emily K. Otieno
Company Secretary